

Big Mountain Resort and Ticket Pricing Strategy

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Problem identification

- Big Mountain Resort has been priced as a premium facility relative to other resorts in Montana
- Do the facilities of BMR support this price? Do they support an even *more* premium price tag?
- Other considerations:
 - New chairlift has increased operating costs by \$1.54 million this season
 - How else can BMR increase revenue (4 scenarios)

Recommendation and key findings

Current price: \$81

Model results based on analyses of other resort lift ticket pricing vs their offerings:
\$95.87 +/- \$10.39

Let's call this a \$15 increase. For 350,000 expected visitors, each skiing 5 days (ie, buying 5 lift tickets),

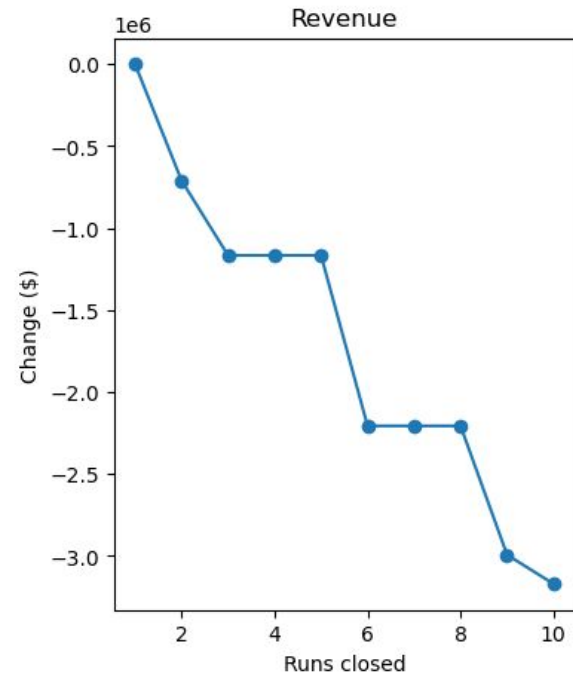
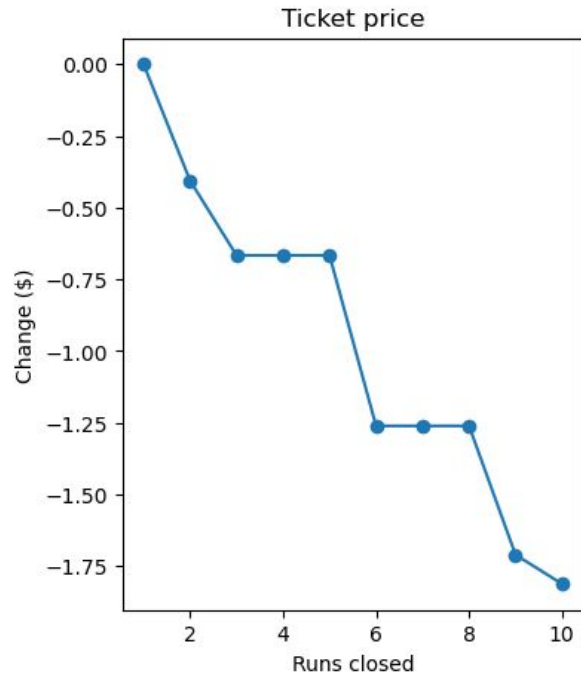
$$\$15 \times 350,000 \times 5 = \$26.25 \text{ million}$$

And this is much greater than the \$1.54 million operating costs of the new lift



Increase on an already high relative ticket price to its MT peers; reinforce BMR's reputation as a premium product

Modeling - Scenario (1): Permanently closing down up to 10 of the least used runs



Modeling - Scenario (2): Increase the vertical drop by adding a run to a point 150 feet lower down but requiring the installation of an additional chair lift to bring skiers back up, without additional snow making coverage
And (3): also add 2 acres of snow making cover

(2): This scenario increases support for ticket price by \$1.99. Over the season, this could be expected to amount to \$3.47 million

(3): Does not change the results of (2). Modeling suggests no ROI on the additional snowmaking for this new run.

Modeling - Scenario (4): Increase the longest run by 0.2 mile to boast 3.5 miles length, requiring an additional snow making coverage of 4 acres

Models suggest NO support for ticket price increase under these conditions

Summary and conclusion

- Big Mountain Resort is well positioned to increase the lift ticket price, reflecting the value of its facilities and its positioning as a luxury product
- Support for ticket price increase from \$81 -> \$96
- This \$15 increase combined with the expected patronage more than covers the operating costs of the new chairlift